TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

Australian Financial Review (Zoe Samios)
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Wesfarmers, Telstra and BHP urge Canberra to move fast on AI

> Business leaders want rules on AI, copyright and data centres settled before Christmas. They warn that slow decisions will push investment to rival countries and waste one of the few big productivity levers Australia has.

WHAT HAPPENED

- The BCA says delay risks competitor nations getting ahead, and wants copyright and data-centre decisions made before Christmas.
- Wesfarmers' Rob Scott calls AI one of the few levers big enough to fix Australia's productivity problem.
- BHP says AI-enabled computer vision lifted output by 180,000 tonnes a year in WA.
- Assistant Minister Andrew Charlton says falling AI share prices don't mean the technology itself has stalled.
- Investment is flowing to Singapore, India and Japan, and Meta says the midterms will make US data-centre building harder.

Productivity: output per unit of input, such as per hour worked

Regulatory certainty: clear, stable rules that let firms plan long-term investment

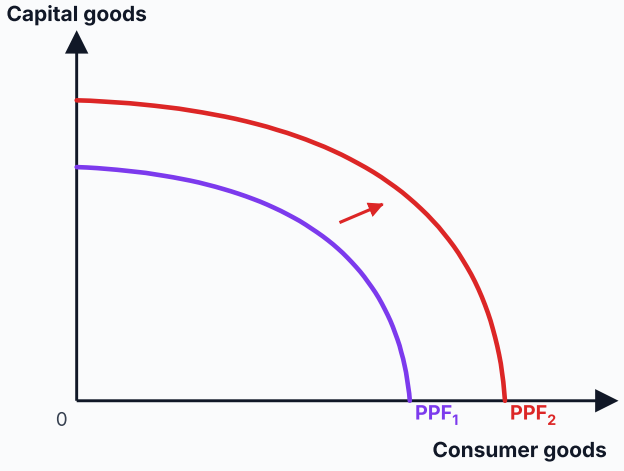
180,000 t
Extra annual output at BHP WA from AI computer vision

130+
CEOs and companies represented by the BCA

70%
Share of data-centre power from renewables, according to the industry

DIAGRAM

Technology and the economy's productive capacity



Adopting new technology such as AI raises the output that existing resources can produce, so the production possibility frontier shifts out from **PPF_1 to PPF_2**.

Business argues that **uncertain rules** slow the investment needed to get there. Critics want safeguards on energy use, copyright and jobs.

Exam angle: Balance the **dynamic efficiency** gains from new technology against **externalities** (energy, water) and **structural unemployment** risks. Policy design is about getting both right.

SYLLABUS LINK

Topic 4 – Microeconomic reform and productivity; government policy towards technology and investment; Topic 1 – Global competition for investment.

TRY THIS

1. Explain how regulatory uncertainty can reduce business investment. **(3 marks)**
2. Discuss the potential economic benefits and costs of rapid AI adoption in Australia. **(6 marks)**

Read more: AFR – Wesfarmers, Telstra, BHP urge government to move fast on AI (6 Nov 2026)

Summary written in our own words for classroom use